

LAW AND MOTION TENTATIVE RULINGS
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Cal.App.4th 1510, 1519; *California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630.) The burden will then shift to the defendant to show the existence of a triable issue of material fact for at least one element of the cause of action at issue. (*Ibid*). Courts “liberally construe the evidence in support of the party opposing summary judgment or summary adjudication and resolve doubts concerning the evidence in favor of that party.” (*Dore v. Arnold Worldwide, Inc.* (2006) 39 Cal.4th 384, 389.) However, if all inferences reasonably deducible from the submitted evidence are uncontradicted by other inferences and there is no triable issue as to any material fact, the moving party is entitled to summary judgment or adjudication as a matter of law. (§ 437c, subd. (c); *Adler v. Manor Healthcare Corp.* (1992) 7 Cal.App.4th 1110, 1119.)

The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. If the moving party carries this burden, it causes a shift and the opposing party is then subject to its own burden of production to make a prima facie showing that a triable issue of material fact exists. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) Each material fact must have a citation to supporting evidence. (§ 437c, subd. (b)(1).) If a triable issue is raised as to any of the facts in the separate statement, the motion may be denied. (*Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 252.)

IV. DISCUSSION

The court finds the above facts are sufficient to satisfy the elements of plaintiff’s claims. The burden therefore shifts to defendant to show that a triable issue of one or more material facts exists as to the causes of action or a defense thereto. Defendant has failed to meet this burden as he has not filed an opposition and raised any triable issue of disputed fact. Plaintiff is therefore entitled to judgment against defendant in the amount of \$6,214.94.

No. 26CV01419

STEIN v. B.W. PLUS SCOTTS VALLEY INN LLC

DEFENDANT’S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

The motion is granted. Plaintiff is ordered to submit her individual claims to arbitration, and this action is stayed pending its result. Plaintiff’s class claims have been waived.

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I. BACKGROUND

Defendant seeks to compel arbitration of plaintiff Dabney Stein's individual labor violations case. Plaintiff alleges various Labor Code violations including unpaid minimum wages, unpaid overtime, unpaid meal period premiums, unpaid rest period premiums, untimely paid wages (including final wages), failure to provide accurate wage statements, failure to reimburse business expenses, and unfair business practices.

Plaintiff worked in an hourly non-exempt position as a front desk agent from November 2025 through April 2026. (Declaration of Stein, ¶ 3.) During plaintiff's first week of work, she was required to sign various employment documents, none of which were explained to her, and she understood that if she did not sign, her employment would be terminated. She did not know one of the documents was an arbitration agreement, did not understand what that was, and did not know it was optional. (Stein Decl., ¶¶ 5-14.)

Defendant's general manager Linda Giles declares she is responsible for onboarding new employees and describes the contents of plaintiff's personnel file related to the onboarding documents, including the arbitration agreement. (Giles Decl., ¶¶ 2-7.) The parties do not dispute that plaintiff signed the arbitration agreement.

II. LEGAL STANDARDS

California law incorporates many of the basic policy objectives contained in the Federal Arbitration Act, including a presumption in favor of arbitrability. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 971-72.) Under both the FAA and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, the party opposing the petition then bears the burden of proving by a preponderance of the evidence any fact necessary to demonstrate that there should be no enforcement of the agreement, and the trial court sits as a trier of fact to reach a final determination on the issue. (*Rosenthal v. Great Western Financial Securities Corp.* (1996) 14 Cal.4th 394, 413.) Code of Civil Procedure section 1281.2 empowers the court to compel parties to arbitrate disputes pursuant to an agreement to do so unless it finds the right was waived or grounds exist for revocation of the agreement.

The party petitioning to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing a petition must meet the same evidentiary burden to prove any facts necessary to its defense. The trial court acts as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence.

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(Code Civ. Proc., § 1281.2; *Provencio v. WMA Securities, Inc.* (2005) 125 Cal.App.4th 1028, 1031.)

“[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable.” (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 787.) The trial court decides whether there is an agreement to arbitrate between the parties, and whether the agreement covers the dispute at issue. (*Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 960.) If defendant meets its burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, the burden then shifts to plaintiff: “a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (*Esparza v. Sand & Sea, Inc.*, *supra*, 2 Cal.App.5th at p. 787.)

“‘Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute. [Citation.]’” (*Valsan Partners Ltd. Partnership v. Calcor Facility, Inc.* (1994) 25 Cal.App.4th 809, 817.) Generally, any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration. (*Moses H. Cone Mem’l Hosp. v. Mercury Constr. Corp.* (1983) 460 U.S. 1, 24-25.)

When an arbitration agreement does not authorize class arbitration of disputes, case law provides for dismissal without prejudice of the class claims. (*Epic Systems Corp. v. Lewis* (2018) 584 U.S. 497, 517; *Stolt-Nielsen S.A. v. AnimalFeeds Int’l Corp.* (2010) 559 U.S. 662, 686; *Kinecta Alternative Financial Solutions, Inc. v. Superior Court* (2012) 205 Cal.App.4th 506, 510-11.)

Failure to read or understand an arbitration clause is generally no defense to its enforcement. (*Madden v. Kaiser Found. Hosp.* (1976) 17 Cal.3d 699, 710; *Metters v. Ralphs Grocery Co.* (2008) 161 Cal.App.4th 696, 701-702.)

III. DISCUSSION

The parties do not dispute that an arbitration agreement exists here. Plaintiff’s defense is that the agreement is unconscionable due to lack of mutuality and the fee provision, and that state law invalidates her class action waiver.

Unconscionability has both procedural and substantive elements. Although both must appear for a court to invalidate a contract or one of its individual terms, they need not be present in the same degree: “[T]he more substantively oppressive the contract term, the less evidence of

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procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Roman v. Superior Court* (2009) 172 Cal.App.4th 1462, 1469.)

1. The arbitration agreement is not procedurally unconscionable

Procedural unconscionability focuses on the elements of oppression and surprise. “‘Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice.... Surprise involves the extent to which the terms of the bargain are hidden in a ‘prolix printed form’ drafted by a party in a superior bargaining position.’” (*Ibid.*) “The Supreme Court has acknowledged that adhesion contracts in the employment context typically contain some measure of procedural unconscionability.” (*Ibid.*) Courts have found agreements to be procedurally unconscionable when buried in 24-page, single spaced documents. (*Id.* at p. 1470-71.) But procedural unconscionability is not the lone determining factor and in order to render an arbitration agreement unconscionable, it must also present substantive unconscionability.

Procedural unconscionability factors “include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (*OTO, LLC. v. Kho* (2019) 8 Cal.5th 111, 126-127.) As noted in *OTO*, “the economic pressure exerted by employers on all but the most sought-after employees may be particularly acute, for the arbitration agreement stands between the employee and necessary employment, and few employees are in a position to refuse a job because of an arbitration requirement.” (*Id.* at p. 127.)

Thus, courts must first determine whether an arbitration agreement is adhesive. (*Armendariz v. Found. Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114-115.) “Oppression generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, citations omitted.) A “take-it-or-leave-it” presentation exists when an employee is compelled to accept arbitration as a condition of employment. (*Lagatree v. Luce, Forward, Hamilton & Scripps* (1999) 74 Cal.App.4th 1105, 1124.)

The agreement here was included within the Employee Handbook at pages 40-43 with a separate signature page just for the employee’s signature. (Giles Decl., Ex. A.) Plaintiff declares she felt forced to sign the agreement to keep the job but there is no evidence that she was pressured or misled. The agreement was available for review, and plaintiff had the opportunity to

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read and understand it before signing. Her failure to do so does not render the agreement procedurally unconscionable.

2. The arbitration agreement is not substantively unconscionable

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results. Substantive unconscionability “may take various forms,” but typically is found in the employment context when the arbitration agreement is “one-sided” in favor of the employer without sufficient justification, for example, when “the employee’s claims against the employer, but not the employer’s claims against the employee, are subject to arbitration.” (*Roman v. Superior Court*, *supra*, 172 Cal.App.4th at 1470-71.)

In *Armendariz v. Foundation Health Psychcare Services, Inc.*, *supra*, 24 Cal.4th at p. 102, the California Supreme Court found that a binding arbitration agreement is lawful if it:

- (1) provides for mutuality for dispute resolution: **The agreement is signed only by plaintiff but its terms apply to all disputes by both plaintiff and defendant. Plaintiff argues the agreement is fatally one-sided, but it is not: “The Hotel and I mutually consent to the resolution by arbitration of all claims or disputes covered by this Agreement, past, present or future, that the Hotel may have against me or that I may have against any of the following (1) the Hotel, (2) its officers, directors, employees, or agents in their capacity as such or otherwise, (3) the Hotel's parent, subsidiary and affiliated entities, (4) the Hotel's benefit plans or the plans' sponsors, fiduciaries, administrators, affiliates and agents, and/or (5) all successors and assigns of any of them.”**
- (2) provides for neutral arbitrators: **The agreement provides that the arbitration is run by JAMS, a neutral third party.**
- (3) provides for more than minimal discovery: **The agreement authorizes discovery, depositions, interrogatories, subpoenas and the production of documents.**
- (4) requires a written award: **The agreement does not discuss a written award.**
- (5) provides for all of the types of relief that would otherwise be available in court: **“I and the Hotel may seek and be awarded any remedy in arbitration that could be obtained in a court of law.”**
- (6) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum: **The agreement provides**

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that plaintiff pay an initial fee no larger than a court filing fee, and that each party bears their own attorney fees and costs.

The agreement is mutual and applies to resolution of all claims by both employee and employer. The provision meets all but one factor identified in *Armendariz* as a lawful arbitration provision and the court finds that the agreement is not substantively unconscionable.

3. Class claims are waived

Here, the court finds that the FAA applies based on interstate commerce. Giles' declaration establishes that defendant serves guests who travel from outside the state and it regularly purchases goods and supplies from vendors outside the state. (Giles Decl., ¶ 2.) Plaintiff failed to provide contrary evidence. Therefore, the class action waiver is enforceable. (*Epic Systems Corp. v. Lewis, supra*, 584 U.S. at 517; *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 364.)

While plaintiff argues her representative claims under PAGA cannot be compelled to arbitration, plaintiff's complaint does not include any PAGA cause of action or allegations she made any necessary LWDA notice. Therefore, there is no PAGA issue before the court.